Financial Conglomerates

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1

Application and Definitions

1.1

Unless otherwise stated, this Part applies to every _firm_ except:

1. (1) [deleted.]
2. (2) [deleted.]
3. (3) an _insurer_ that is not a _UK Solvency II firm_.

1.2

This Part does not apply to a _firm_ with respect to a _financial conglomerate_ of which it is a member if the interest of the _financial conglomerate_ in that _firm_ is no more than a _participation_.

1.3

The rules in 3.2, 4.2 and Chapter 7 do not apply with respect to a _third country financial conglomerate_.

1.4

In this Part, the following definitions shall apply:

ancillary insurance services undertaking

in relation to any undertaking in a consolidation group, an undertaking complying with the following conditions:

1. (1) its principal activity consists of:
1. (a) owning or managing property;
2. (b) managing data-processing services;
3. (c) providing health and care services; or
4. (d) any other similar activity;
2. (2) the activity in (1) is ancillary to the principal activity of one or more insurance undertakings; and
3. (3) those insurance undertakings are also members of that consolidation group.

applicable sectoral consolidation rules

means in respect of a financial sector the PRA?s sectoral rules about capital adequacy and solvency on a consolidated basis applicable to that financial sector under the table in paragraph 8 of Annex 2 of this Part (Application of sectoral consolidation rules).

applicable sectoral rules

means in respect of a financial sector, applicable sectoral consolidation rules for that financial sector and the PRA?s sectoral rules about capital adequacy and solvency for:

1. (1) the banking and investment services sector as set out in paragraph 6.2 of Annex 2 to this Part; or
2. (2) the insurance sector as set out in paragraph 6.4 of Annex 2 to this Part;

which of those sets of rules apply for the purpose of a particular calculation depends on the nature of that calculation.

banking and investment services sector

means the investment services sector and the banking sector taken together.

banking sector

means a sector composed of one or more of the following entities:

1. (1) a credit institution;
2. (2) a financial institution; and
3. (3) an ancillary services undertaking that is not an ancillary insurance services undertaking.

conglomerate capital resources

in relation to a financial conglomerate with respect to which 3.3 applies capital resources as defined in whichever of paragraphs 1.1 of Part 1 or 2.1 of Part 2 of Annex 2 applies with respect to that financial conglomerate.

conglomerate capital resources requirement

in relation to a financial conglomerate with respect to which 3.3 applies the capital resources requirement defined in whichever of paragraphs 1.3 or 2.4 of Annex 2 applies with respect to that financial conglomerate.

consolidation group

means:

1. (1) a conventional group; or
2. (2) undertakings linked by a common management relationship or an Article 18(6) relationship.

If a parent undertaking or subsidiary undertaking in a conventional group (the first person) has a consolidation common management relationship or an Article 18(6) relationship with another person (the second person), the second person, and any subsidiary undertaking of the second person, is also a member of the same consolidation group.

conventional group

means a group of undertakings that consists of a parent undertaking and

any person that is either:

1. (1) a subsidiary undertaking of that parent undertaking; or
2. (2) an undertaking in which that parent undertaking or a subsidiary undertaking of that parent undertaking holds a participation.

CRR investment services sector

means a sector composed of one or more of the following entities:

1. (1) a designated investment firm; and
2. (2) a financial institution.

electronic money institution

means, in accordance with regulation 2(1) of the Electronic Money Regulations, an authorised electronic money institution or a small electronic money institution.

financial conglomerate notification

means a notification issued in respect of a financial conglomerate that has been identified as a financial conglomerate as contemplated by regulation 2 of the Financial Conglomerates Regulations.

financial sector

means one of the banking and investment services sector or the insurance sector.

Financial Services Register

means a public record, as required by section 347 of FSMA (The public record), regulation 4 of the Payment Services Regulations (SI 2009/209) and, regulation 4 of the Electronic Money Regulations.

insurance sector

means a sector composed of one or more of the following entities:

1. (1) a UK Solvency II firm;
2. (2) third country insurance undertaking or a third country reinsurance undertaking;
3. (3) an insurance holding company; and
4. (4) in the relevant circumstances described in 5, an asset management company or an alternative investment fund manager.

investment services sector

means the MIFIDPRU investment services sector and the CRR investment services sector taken together.

MIFIDPRU

means the Prudential Sourcebook for MiFID Investment Firms module of the FCA Handbook.

MIFIDPRU investment firm

has the meaning given in the FCA Handbook.

MIFIDPRU investment services sector

means a sector composed of one or more of the following entities:

1. (1) an investment firm other than a designated investment firm;
2. (2) a financial institution that is not an investment firm; and
3. (3) in accordance with rule 5, an asset management company or an alternative investment fund manager.

mixed financial holding company

has the meaning given in regulation 1(2) of the Financial Conglomerates Regulations.

most important financial sector

means the financial sector, being either the insurance sector or the banking and investment services sector, which has the largest average referred to in the box titled Threshold Test 2 in Annex 1; and so that the investment services sector and the banking sector are treated as one for the purpose of the definition of financial conglomerate and for the purposes of 1 to 5 of this Part.

overall financial sector

means a sector composed of one or more of the following types of entities:

1. (1) members of the financial sectors; and
2. (2) except where 1 to 5 and Annex 2 to this Part provide otherwise, a mixed financial holding company.

own funds requirements

has the meaning given by Article 92 of the CRR.

participation

has the meaning given in point (35) of Article 4(1) of the CRR.

PRA financial conglomerate notification

means a notification in respect of a financial conglomerate in accordance with Regulation 2 of the Financial Conglomerates Regulations issued by the PRA or by the UK Financial Services Authority and attributed to the PRA on 1 April 2013, identifying that financial conglomerate and its coordinator.

recognised third country credit institution

means a credit institution that satisfies the following conditions:

1. (1) its head office is outside the UK;
2. (2) it is authorised by a third country competent authority in the state or territory in which the credit institution's head office is located; and
3. (3) that third country competent authority applies prudential and supervisory requirements to that credit institution that are at least equivalent to those applied in the UK.

recognised third country investment firm

means an investment firm that falls within the meaning of ?investment firm? given in point (2) of Article 4(1) of the CRR and which satisfies the following conditions:

1. (1) its head office is outside the UK;
2. (2) it is authorised by a third country competent authority in the state or territory in which the investment firm's head office is located; and
3. (3) that investment firm is subject to and complies with prudential rules of or administered by that third country competent authority that are at least as stringent as those laid down in whichever of the CRR or MIFIDPRU would apply if its head office was in the UK.

regulated entity

means one of the following:

1. (1) a credit institution;

2. (2) a UK Solvency II firm, a third country insurance undertaking, a third country reinsurance undertaking;
3. (3) an investment firm;
4. (4) an asset management company for the purposes described in 5; or
5. (5) an alternative investment fund manager for the purposes described in 5;

whether or not it is incorporated in, or has its head office in, the UK.

sectoral rules

means, in relation to a financial sector, the following rules and requirements relating to the prudential supervision of regulated entities within that financial sector:

1. (1) for the purpose of calculating solo capital resources and a solo capital resources requirement:
1. (a) to the extent provided for in paragraphs 6.4 to 6.6 of Annex 2, rules and requirements that are referred to in those paragraphs; or
2. (2) for all other purposes, rules and requirements of the PRA.
3. and so that:
4. (3) in relation to prudential rules about consolidated supervision for any financial sector, those requirements include ones relating to the form and extent of consolidation;
5. (4) in relation to any financial sector, those requirements include ones relating to the eligibility of different types of capital;
6. (5) in relation to any financial sector, those requirements include both ones applying on a solo basis and ones applying on a consolidated basis; and
7. (6) references to the PRA?s sectoral rules are to sectoral rules in the form of rules, and as applicable, the CRR.

smallest financial sector

means the financial sector with the smallest average referred to in the box titled Threshold Test 2 in Annex 1, the investment services sector and the banking sector being treated as one in the circumstances set out in 1 to 5 of this Part.

solo capital resources

means capital resources that are or would be eligible as capital under the sectoral rules that apply for the purpose of calculating its solo capital resources requirement. Paragraph 7.1 of Annex 2 applies for the purpose of this definition in the same way as it does for the definition of solo capital resources requirement.

solo capital resources requirement

a capital resources requirement calculated on a solo basis as defined in paragraph 6.2 to 6.7 of Annex 2.

solvency deficit

in Annex 2 and in respect of a member of the overall financial sector, means the amount, if any, by which its solo capital resources fall short of its solo capital resources requirement.

third country competent authority

has the meaning given in regulation 7 of the Financial Conglomerates Regulations.

UCITS management company

means:

1. (1) except in relation to MiFID business, a firm which is either:
1. (a) a UCITS firm; or
2. (b) a UCITS investment firm.
2. (2) in relation to MiFID business, a management company as defined in the UCITS Directive.

[Note: point (28) of Article 4(1) of MiFID II]

UK regulated entity

means a regulated entity that is a UK firm.

1.5

Unless otherwise defined in this Part, any italicised expression used in this Part and in the _CRR_ or the _Solvency II Directive_ has the same meaning as in the _CRR_ or the _Solvency II Directive_.

2

Definition of a Financial Conglomerate

2.1

A financial conglomerate means a _consolidation group_ that is a financial conglomerate when assessed against the decision tree in Annex 1.

[Note: Art 2(14) and Art 3(1) to 3(3) of the _Financial Groups Directive_]

2.2

A _consolidation group_ is not prevented from being a _financial conglomerate_ because it is part of a wider:

1. (1) _consolidation group_ ; or
2. (2) _financial conglomerate_ ; or
3. (3) group of _persons_ linked in some other way.

[Note: Art 2(12) and Art 2(14) of the _Financial Groups Directive_]

2.3

For the purpose of the definition of _financial conglomerate_ , there are two _financial sectors_ as follows:

1. (1) the _banking sector_ and the _investment services sector_ , taken together; and
2. (2) the _insurance sector_.

[Note: Art 2(8) and second paragraph of Art 3(2) of the _Financial Groups Directive_]

2.4

For the purposes of Annex 1:

1. (1) a _mixed financial holding company_ is outside the _overall financial sector_ for the purposes of the tests set out in the boxes entitled Threshold Test 1, Threshold Test 2 and Threshold Test 3 in Annex 1; and
2. (2) determining whether the tests set out in the boxes entitled Threshold Test 2 and Threshold Test 3 in Annex 1 are passed is based on a consideration of the consolidated and/or aggregated activities of the members of the

consolidation group within the _insurance sector_ and the consolidated and/or aggregated activities of the members of the _consolidation group_ within the _banking sector_ and the _investment services sector._

3. (3) [deleted.]

[Note: Art 2(4) of the _Financial Groups Directive_]

2.5

In respect of a _financial conglomerate_ in relation to which a _financial conglomerate notification_ has been issued, the figures in Annex 1 are altered as follows:

1. (1) the figure of 40% in the box titled Threshold Test 1 is replaced by 35%;
2. (2) the figure of 10% in the box title Threshold Test 2 is replaced by 8%; and
3. (3) the figure of six billion Euro in the box titled Threshold Test 3 is replaced by five billion Euro.

[Note: Art 3(6) of the _Financial Groups Directive_]

2.6

The alteration in 2.5 applies to a _financial conglomerate_ only during the period that:

1. (1) begins when the _financial conglomerate_ would otherwise have stopped being a _financial conglomerate_ because it does not meet one of the unaltered thresholds referred to 2.5; and
2. (2) covers the three years following that date.

[Note: Art 3(6) of the _Financial Groups Directive_]

2.7

The calculations referred to in Annex 1 regarding the balance sheet must be made on the basis of the aggregated balance sheet total of the members of the _consolidation group_ , according to their annual accounts. For the purposes of this calculation, _undertakings_ in which a _participation_ is held must be taken into account as regards the amount of their balance sheet total corresponding to the aggregated proportional share held by the _consolidation group_. However, where consolidated accounts are available, they must be used instead of aggregated accounts.

[Note: Art 3(7) of the _Financial Groups Directive_]

2.8

The solvency and capital adequacy requirements referred to in Annex 1 must be calculated in accordance with the provisions of the relevant _sectoral rules_.

[Note: Art 3(7) of the _Financial Groups Directive_]

3

Capital Adequacy

3.1

In this Chapter,

1. (1) 3.2 applies where a _financial conglomerate notification_ has been issued in respect of a _financial conglomerate_ of which a _firm_ is a member; and
2. (2) 3.3, 3.4 and 3.5 apply where a _PRA financial conglomerate notification_ has been issued in respect of a

financial conglomerate of which a _firm_ is a member.

3.2

A _firm_ must at all times have capital resources of such an amount and type that results in the capital resources of the _financial conglomerate_ being adequate.

[Note: Art (6)2 of the _Financial Groups Directive_ ; see also Part 2 (PRA) of Commission Delegated Regulation (EU) 342/2014]

3.3

A _firm_ must have capital resources of an amount and type that ensures that the _conglomerate capital resources_ of that _financial conglomerate_ at all times equal or exceed its _conglomerate capital resources requirement_.

[Note: Art 6(2) of the _Financial Groups Directive_]

3.4

1. (1) Subject to 3.5, the definitions of _conglomerate capital resources_ and _conglomerate capital resources requirement_ that apply for the purposes of 3.3 are the definitions from whichever of Part 1 or Part 2 of Annex 2 the _firm_ has indicated to the _PRA_ it will apply to the group or each part of the group.
2. [Note: Art 6(4) of the _Financial Groups Directive_]
3. (2) The _firm_ must indicate to the _PRA_ in advance which Part of Annex 2 it intends to apply to the group or each part of the group.

3.5

If a _firm_ is subject to a _requirement_ that prescribes the capital adequacy calculation by reference to one or other of Parts 1 and 2 of Annex 2, the definitions of _conglomerate capital resources_ and _conglomerate capital resources requirement_ that apply for the purposes of 3.3 are the definitions from whichever of Part 1 or Part 2 of Annex 2 is specified in the _requirement_.

Note: paragraph 3 of[Annex I of the _Financial Groups Directive_]

4

Risk Concentration and Intra-Group Transactions

4.1

This Chapter applies to a _firm_ that is a member of a _financial conglomerate_ in respect of which a _PRA financial conglomerate notification_ has been issued.

[Note: Art 7(2) and Art 8(2) of the _Financial Groups Directive_; see also Part 2 (PRA) Commission Delegated Regulation (EU) 2015/2303]

4.2

A _firm_ that is a member of a _financial conglomerate_ in respect of which a _financial conglomerate notification_ has been issued, and that is headed by a _mixed financial holding company_ must ensure compliance with the _sectoral rules_ , identified for these purposes in the table at 4.3, regarding _risk concentration_ and _intra-group transactions_ of the _most important financial sector_ in that _financial conglomerate_ with respect to that _financial sector_ as a whole, including the _mixed financial holding company_.

[Note: Art 7(4) and Art 8(4) of the _Financial Groups Directive_]

4.3

Table: application of _sectoral rules_

The _most important financial sector_	Applicable _sectoral rules_
Risk concentration| _Intra-group transactions_
Banking and investment services sector| For _the_ _banking sector_ and _theCRR investment services sector_	_CRR_| Part Four of the _CRR_
For _theMIFIDPRU investment services sector_	MIFIDPRU 5 of the _FCA Handbook_| SYSC 12.1.12 R of the _FCA Handbook_
Insurance sector| Group Supervision 16.1| Group Supervision 16.2
Note| Any _waiver_ granted to a member of the _financial conglomerate_ , on an individual or _consolidated basis_ , shall not apply in respect of the _financial conglomerate_ for the purposes of 4.2.

[Note: Art 7(4) and Art 8(4) of the _Financial Groups Directive_]

5

Asset Management Companies and Alternative Investment Fund Managers

5.1

A _firm_ must treat an _asset management company_ and an _alternative investment fund manager_ that is a member of a _financial conglomerate_ of which that _firm_ is a member:

1. (1) as included in the _overall financial sector_ for the purposes of:
1. (1) 3.3 to 4.3;
2. (2) Annex 2 (Capital adequacy calculations for financial conglomerates) and Annex 3 (Prudential rules for third country financial conglomerates); and
3. (3) any other provision of the _PRA_ Rulebook relating to the supervision of _financial conglomerates_.

[Note: first paragraph of Art 30 and paragraph 1 of Art 30a of the _Financial Groups Directive_]

1. (2) Save in the circumstances in (4), in the case of a _financial conglomerate_ for which the _PRA_ is the _coordinator,_ a _firm_ must allocate an _asset management company_ and an _alternative investment fund manager_ :
1. (a) to the _MIFIDPRU investment services sector_ where a decision to that effect has been made by the relevant member referred to in regulation 2(4) of the _Financial Conglomerates Regulations_ ;
2. (b) to the _insurance sector_ where a decision to that effect has been made by the _undertaking_ in the _financial conglomerate_ that is the group member referred to in Article 4(2) of the Financial Conglomerates Directive; or
3. (c) otherwise to the _smallest financial sector_.
2. (3) The decision in (2):
1. (a) will apply to all _asset management companies_ and all _alternative investment fund managers_ that are members of the _financial conglomerate_ from time to time;
2. (b) cannot be changed; and
3. (c) must be notified to the _PRA_ without delay.
3. (4) Where a _UCITS management company_ , or an _asset management company_ or _alternative investment fund

manager_ is an _investment firm_ , it must be allocated to the _MIFIDPRU investment services sector_.

[Note: second paragraph of Art 30 and Art 30a(2) of the _Financial Groups Directive_]

6

Third Country Financial Conglomerates

6.1

This Chapter applies to a _firm_ that is a member of a _third country financial conglomerate_ except:

1. (1) [deleted.]
2. (2) [deleted.]
3. (3) an _insurer _that is not a _UK Solvency II firm_.

6.2

If a _firm_ is subject to a _requirement_ obliging it to comply with this rule with respect to a _third country financial conglomerate_ of which it is a member, it must comply, with respect to that _third country financial conglomerate_ , with the rules in Part 1 of Annex 3, as adjusted by Part 2 of that Annex.

[Note: Art 18 of the _Financial Groups Directive_]

7

Risk Systems

7.1

This Chapter applies to a _firm_ that is a member of a _financial conglomerate_ in respect of which a _financial conglomerate notification_ has been issued.

[Note: Art 9(1) of the _Financial Groups Directive_]

7.2

A _firm_ must comply with Group Risk Systems 2.1.

7.3

For the purposes of 7.2, the risk management processes referred to in Group Risk Systems 2.1 include:

1. (1) sound governance and management processes, which must include the approval and periodic review by the appropriate managing bodies within the _financial conglomerate_ of the strategies and policies of the _financial conglomerate_ in respect of all the risks assumed by the _financial conglomerate_ , such review and approval being carried out at the level of the _financial conglomerate_ ;
2. (2) adequate capital adequacy policies at the level of the _financial conglomerate_ , one of the purposes of which must be to anticipate the impact of the business strategy of the _financial conglomerate_ on its risk profile and on the capital adequacy requirements to which it and its members are subject;
3. (3) adequate procedures for the purpose of ensuring that the risk monitoring systems of the _financial conglomerate_ and its members are well integrated into their organisation;
4. (4) adequate procedures for the purpose of ensuring that the systems and controls of the members of the _financial conglomerate_ are consistent and that the risks can be measured, monitored and controlled at the level of the _financial

conglomerate_ ; and

5. (5) arrangements in place to contribute to and develop, if required, adequate recovery and resolution arrangements and plans, which a _firm_ must update regularly.

[Note: Art 9(2) of the _Financial Groups Directive_]

7.4

For the purposes of 7.2, the internal control mechanisms referred to in Group Risk Systems 2.1 include:

1. (1) mechanisms that are adequate to identify and measure all material risks incurred by members of the _financial conglomerate_ and appropriately relate capital in the _financial conglomerate_ to risks; and
2. (2) sound reporting and accounting procedures for the purpose of identifying, measuring, monitoring and controlling _intra-group transactions_ and _risk concentrations_.

[Note: Art 9(3) of the _Financial Groups Directive_]

8

Transitionals

8.1

A _waiver_ applied to a _firm_ in relation to a rule specified in Column B of the table at 8.2 will apply to that _firm_ as a waiver or modification, as appropriate, of the corresponding rule set out under Column C of that table.

8.2

Correlation table:

COLUMN A

Financial Conglomerates Directive | COLUMN B

(PRA Handbook as at 31 December 2015) | COLUMN C

Financial Conglomerates (PRA Rulebook)
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Regulation 16 of the _Financial Conglomerates Regulations _

Regulation 17 of the _Financial Conglomerates Regulations_ | Rule 3.1.5 _waiver_ | Rule 2.1 _waiver_
Regulation 19 of the _Financial Conglomerates Regulations_

Regulation 18(b) of the _Financial Conglomerates Regulations_ | Rule 3.1.11 _waiver_ | Rule 2.7 _waiver_
Regulation 24 of the _Financial Conglomerates Regulations_ | Rule 3.1.29 _waiver_ | Rule 3.3 _waiver_

Annex 1 - Financial Conglomerate Decision Tree

Annex 2 - Capital Adequacy Calculations for Financial Conglomerates

1 Table: PART 1: Method of Annex I of the _Financial Groups Directive_ (Accounting Consolidation Method)

Capital resources | 1.1 | The _conglomerate capital resources_ of a _financial conglomerate_ calculated in accordance with this Part are the capital of that _financial conglomerate_ , calculated on an accounting consolidation basis, that qualifies under paragraph 1.2.

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1.2 | The elements of capital that qualify for the purposes of paragraph 1.1 are those that qualify in accordance with the _applicable sectoral rules_ , in accordance with the following:

(1) | the _conglomerate capital resources requirement_ is divided up in accordance with the contribution of each _financial sector_ to it; and

(2) | the portion of the _conglomerate capital resources requirement_ attributable to a particular _financial sector_ must be met by capital resources that are eligible in accordance with the _applicable sectoral rules_ for that _financial sector_.

Capital resources requirement | 1.3 | The _conglomerate capital resources requirement_ of a _financial conglomerate_ calculated in accordance with this Part is equal to the sum of the capital adequacy and solvency requirements for each _financial sector_ calculated in accordance with the _applicable sectoral rules_ for that _financial sector_.

Consolidation | 1.4 | The information required for the purpose of establishing whether or not a _firm_ is complying with 3.3 (insofar as the definitions in this Part are applied for the purpose of that rule) must be based on the consolidated accounts of the _financial conglomerate_ , together with such other sources of information as appropriate.

1.5 | The _applicable sectoral rules_ that are applied under this Part are the _applicable sectoral consolidation rules_. Other _applicable sectoral rules_ must be applied if required.

2 Table: PART 2: Method 2 of Annex I of the _Financial Groups Directive_ (Deduction and Aggregation Method)

Capital resources | 2.1 | The _conglomerate capital resources_ of a _financial conglomerate_ calculated in accordance with this Part are equal to the sum of the following amounts (insofar as they qualify under paragraph 2.3) for each member of the _overall financial sector_ :

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(1) | (for the _person_ at the head of the _financial conglomerate_) its _solo capital resources_ ;

(2) | (for any other member):

(a) | its _solo capital resources_ ; less

(b) | the book value of the _financial conglomerate?s_ investment in that member, to the extent not already deducted in the calculation of the _solo capital resources_ for:

(i) | the _person_ at the head of the _financial conglomerate_ ; or

(ii) | any other member.

2.2 | The deduction in paragraph 2.1(2) must be carried out separately for each type of capital represented by the _financial conglomerate?s_ investment in the member concerned.

2.3 | The elements of capital that qualify for the purposes of paragraph 2.1 are those that qualify in accordance with the _applicable sectoral rules_. In particular, the portion of the _conglomerate capital resources requirement_ attributable to a particular member of a _financial sector_ must be met by capital resources that would be eligible under the _sectoral rules_ that apply to the calculation of its _solo capital resources_.

Capital resources requirement | 2.4 | The _conglomerate capital resources requirement_ of a _financial conglomerate_ calculated in accordance with this Part is equal to the sum of the _solo capital resources requirement_ for each member of the _financial conglomerate_ that is in the _overall financial sector_.

Partial inclusion | 2.5 | The capital resources and capital resources requirements of a member of the _financial conglomerate_ in the _overall financial sector_ must be included proportionally. If however the member is a _subsidiary undertaking_ and it has a _solvency deficit_ , it must be included in full.

Accounts | 2.6 | The information required for the purpose of establishing whether or not a _firm_ is complying with 3.3 (insofar as the definitions in this Part are applied for the purpose of that rule) must be based on the individual accounts of members of the _financial conglomerate_ , together with such other sources of information as appropriate.

3 Table

Types of financial conglomerate	3.1	(1)	This paragraph sets out how to determine the category of _financial conglomerate_.
(2)	If there is a _UK regulated entity_ at the head of the _financial conglomerate_ , then:
(a)	if that entity is in the _banking sector_ or the _investment services sector_ , the _financial conglomerate_ is a _banking and investment services conglomerate_ ; or
(b)	if that entity is in the insurance sector, the _financial conglomerate_ is an _insurance conglomerate_.
(3)	If (2) does not apply and the _most important financial sector_ is the _banking and investment services sector_ , it is a _banking and investment services conglomerate_.
(4)	If (2) and (3) do not apply, it is an _insurance conglomerate_.

4 Table

A mixed financial holding company	4.1	A _mixed financial holding company_ must be treated in the same way as:
(a)	a _financial holding company_ , if Part One, Title II, Chapter 2 of the _CRR_ and Groups Part are applied;
(b)	an _insurance holding company_ , if the rules in Solvency II Firms: Group Supervision are applied; or
(c)	an _investment holding company_ (if the rules in _MIFIDPRU_ are applied).

5 Table: PART 3: Principles applicable to all methods

Transfer-ability of capital	5.1	Capital may not be included in a _firm?s_ _conglomerate capital resources_ under 3.3 if the effectiveness of the transferability and availability of the capital across the different members of the _financial conglomerate_ is insufficient, given the objectives of the capital adequacy rules for _financial conglomerates_.
Double counting	5.2	Capital must not be included in a _firm?s_ _conglomerate capital resources_ under 3.3 if:
(1)	it would involve double counting or multiple use of the same capital; or
(2)	it results from any inappropriate intra-group creation of capital.
Cross sectoral capital	5.3	In accordance with the second sub-paragraph of paragraph 2(ii) of Section I of Annex I of the _Financial Groups Directive_ (Other technical principles and insofar as not already required in Parts 1-2):
(1)	the solvency requirements for each different _financial sector_ represented in a _financial conglomerate_ required by 3.3 must be covered by own funds elements in accordance with the corresponding applicable _sectoral rules_ ; and
(2)	if there is a deficit of own funds at the _financial conglomerate_ level, only cross sectoral capital (as referred to in that sub-paragraph) shall qualify for verification of compliance with the additional solvency requirement required by 3.3.
Application of sectoral rules: general	5.4	The following adjustments apply to the _applicable sectoral rules_ as they are applied by the rules in this Annex.
(1)	If any of those rules would otherwise not apply to a situation in which they are applied by this Annex, those rules nevertheless still apply (and in particular, any of those rules that would otherwise have the effect of disapplying consolidated supervision do not apply).
(2)	If it would not otherwise have been included, an _ancillary insurance services undertaking_ is included in the _insurance sector_.
(3)	The scope of those rules is amended so as to remove restrictions relating to where members of the _financial conglomerate_ are incorporated or have their head office, so that the scope covers every member of the _financial conglomerate_ that would have been included in the scope of those rules if those members had their head offices in the _UK_.
(4)	For the purposes of Parts 1 to 2, those rules must be adjusted, if necessary, when calculating the capital resources, capital resources requirements or solvency requirements for a particular _financial sector_ to exclude those for a member of another _financial sector_.

(5) | Any _waiver_ or _CRR permission_ granted to a member of the _financial conglomerate_ under those rules does not apply for the purposes of this annex.

[Deleted.] | 5.5 | [deleted.]

No capital ties | 5.6 | (1) | This rule deals with a _financial conglomerate_ in which some of the members are not linked by capital ties at the time of the notification referred to in 3.1(2).

(2) | If 3.3 applies with respect to a _financial conglomerate_ falling into (1), then:

(a) | the treatment of the links in (1) (including the treatment of any _solvency deficit_) is as provided for in whichever of Part 1 or Part 2 of this Annex 2 the _firm_ has, under 3.4, indicated to the _PRA_ it will apply or, if applicable, in the _requirement_ referred to in 3.5; and

(b) | 3.3 applies even if the _applicable sectoral rules_ do not deal with how _undertakings_ not linked by capital ties are to be dealt with for the purposes of consolidated supervision.

6 Table: PART 4: Definitions used in this Annex

Defining the financial sectors | 6.1 | For the purposes of Parts 1 and 2 of this Annex:

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(1) | an _asset management company_ is allocated in accordance with 5.1;

(2) | an _alternative investment fund manager_ is allocated in accordance with 5.1; and

(3) | a _mixed financial holding company_ must be treated as being a member of the _most important financial sector_.

Solo capital resources requirement: banking sector and investment services sector | 6.2 | (1) | Save in the circumstances in paragraph 6.6, the _solo capital resources requirement_ of an _undertaking_ in the _banking sector_ or the _investment services sector_ must be calculated in accordance with this rule.

(2) | The _solo capital resources requirement_ of a _building society_ is its _own funds requirements_.

(3) | The _solo capital resources requirement_ of an _electronic money institution_ is the capital resources requirement that applies to it under the _Electronic Money Regulations_.

(4) | The _solo capital resources requirement_ for any _undertaking_ in the _banking sector_ or the _CRR investment services sector_ is, subject to (2) and (3), calculated in accordance with the _CRR_ for calculating the _own funds requirements_ of a _bank_.

(4A) | The _solo capital resources requirement_ for any _undertaking_ in the _MIFIDPRU investment services sector_ , is, subject to (2) and (3), calculated in accordance with _MIFIDPRU_.

(5) | [deleted.]

(6) | [deleted.]

(7) | [deleted.]

Solo capital resources requirement: application of rules | 6.3 | Any exemption that would otherwise apply under any rules applied by paragraph 6.2 does not apply for the purposes of this Annex.

Solo capital resources requirement: insurance sector | 6.4 | (1) | The _solo capital resources requirement_ of an _undertaking_ in the _insurance sector_ is:

(a) | in respect of a _UK Solvency II firm_ , the _SCR_ ;

(b) | [deleted.]

(c) | in respect of a _third country insurance undertaking_ or _third country reinsurance undertaking_ to which Group Supervision, 10.4(2) applies, the equivalent of the _SCR_ as calculated in accordance with the applicable requirements in that _third country_ ;

(d) | in respect of any _undertaking_ which is not within (a) to (c), the capital resources requirement calculated according to the rules for the calculation of the solo capital resources requirement applicable to that _undertaking_ for the purposes of the calculation referred to in Group Supervision or, if no rules are applicable for that calculation under Group Supervision, in accordance with the _SCR Rules_.

[Deleted.] | 6.5 | [Deleted.]

Solo capital resources requirement: non-UK firms subject to equivalent regimes in the banking sector or investment services sector | 6.6 | The _solo capital resources requirement_ for a recognised third country credit institution or a _recognised third country investment firm_ is the amount of capital resources that it is obliged to hold under the _sectoral rules_ for its _financial sector_ that apply to it in the state or territory in which it has its head office provided that:

| (1) | there is no reason for the _firm_ applying the rules in this Annex to believe that the use of those _sectoral rules_ would produce a lower figure than would be produced under paragraph 6.2; and

(2) | paragraph 6.3 applies to the entity and those _sectoral rules_.

Solo capital resources requirement: mixed financial holding company | 6.7 | (1) | The _solo capital resources requirement_ of a _mixed financial holding company_ is a notional capital requirement. Subject to (2), it is the capital adequacy requirement that applies to _regulated entities_ in the _most important financial sector_ under the table in paragraph 8.

(2) | Where the _banking and investment services sector_ is the _most important financial sector_ , the capital adequacy requirement will be: |

| (a) | where there is a _UK credit institution_ in the _financial conglomerate_, the requirements in the table in paragraph 8 for the _banking sector_ ; |

| (b) | in all other cases, the requirements in the table in paragraph 8 for the _CRR investment services sector_ ; or |

| (c) | where neither (a) nor (b) apply, the requirements in the table in paragraph 8 for the _MIFIDPRU investment services sector_. |

7 Table

Solo capital resources requirement: the insurance sector | 7.1 | References to capital requirements in the provisions of this Annex defining _solo capital resources requirement_ must be interpreted in accordance with paragraph 5.4.

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8 Table: Application of sectoral consolidation rules

Banking sector | 8 | Part One, Title II, Chapter 2 of the _CRR_ and the Groups Part.

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Insurance sector | | Group Supervision

CRR investment services sector | | in relation to a _designated investment firm _which is a member of a _financial conglomerate_ for which the _PRA_ is the _coordinator_ , Part One, Title II, Chapter 2 of the _CRR_ and the _PRA_ Rulebook.

MIFIDPRU investment services sector | | in relation to a _MIFIDPRU investment firm_ which is a member of a _financial conglomerate_ for which the _PRA_ is the _coordinator_ , _MIFIDPRU_.

9 Table

Part 4 | 9 | This Part 4 is subject to Part 3 of this Annex.

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* Future version of Annex 2 - Capital Adequacy Calculations for Financial Conglomerates after 01/01/2027

Annex 3 - Prudential Rules for Third Country Financial Conglomerates (6.2)

1 Table: PART 1: Third country financial conglomerates

1.1 | This Part of this Annex sets out the rules with which a _firm_ must comply under 6.2 with respect to a _financial conglomerate_ of which it is a member.

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1.2 | A _firm_ must comply, with respect to the _financial conglomerate_ referred to in paragraph 1.1, with 3.3.

1.3 | For the purposes of paragraph 1.2:

(1) | the definitions of _conglomerate capital resources_ and _conglomerate capital resources requirement_ that apply for the purposes of that rule are the ones from whichever of Part 1 or Part 2 of Annex 2 is specified in the _requirement_ referred to in 6.2; and

(2) | the rules so applied (including those in Annex 2) are adjusted in accordance with paragraph 2.1.

1.4 | If the condition in Articles 7(4) and 8(4) of the _Financial Groups Directive_ is satisfied (the _financial conglomerate_ is headed by a _mixed financial holding company_) with respect to the _financial conglomerate_ referred to in paragraph 1.1 the _firm_ must also comply with 4.2 (as adjusted in accordance with paragraph 2.1) with respect to that _financial conglomerate_.

1.5 | A _firm _must comply with the following with respect to the _financial conglomerate_ referred to in paragraph 1.1:

(1) | Chapter 7 as adjusted under paragraph 2.1; and

(2) | 3.2.

2 Table: PART 2: Adjustment of scope

2.1 | The adjustments that must be carried out under this paragraph are that the scope of the rules referred to in Part 1 of this Annex, are amended:

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(1) | to remove any provisions disapplying those rules for _third country financial conglomerates_ ;

(2) | to remove all limitations relating to where a member of the _third country financial conglomerate_ is incorporated or has its head office; and

(3) | so that the scope covers every member of the _third country financial conglomerate_ that would have been included in the scope of those rules if those members had their head offices in, and were incorporated in the _UK_.